

Clearing & Settlement: Introduction

- **Clearing:** The process of validating and confirming transactions before settlement. It involves matching trades, calculating obligations, and ensuring both parties meet their commitments.
- **Settlement:** The final stage of a transaction, where ownership of securities is transferred from seller to buyer, and funds are transferred from buyer to seller. This ensures actual delivery vs. payment.
- **Importance:** Reduces counterparty risk, ensures market integrity, and promotes efficiency in financial markets.

The Clearing Process

- **Trade Confirmation:** Buyers and sellers confirm trade details (security, quantity, price, date).
- **Matching:** Clearing house matches trade details from both parties. Discrepancies lead to 'unmatched' trades, requiring reconciliation.
- **Risk Management:** Clearing houses employ mechanisms like margin requirements, guarantee funds, and netting to mitigate risk.
- **Netting:** Reduces the number of transfers by offsetting buy and sell positions for the same security between participants.
 - **Bilateral Netting:** Between two parties.
 - **Multilateral Netting:** Among multiple parties through a central clearing counterparty (CCP).
- **Central Counterparty (CCP):** A clearing house that interposes itself between buyers and sellers, becoming the buyer to every seller and the seller to every buyer. This guarantees trades even if one party defaults.

The Settlement Process

- **Settlement Cycle:** The time period between the trade date (T) and the settlement date (S).
 - **Rolling Settlement:** Most common, e.g., T+2 (settlement occurs two business days after trade date).
 - **Fixed Settlement:** Less common, settlement occurs on a pre-determined date regardless of trade date.
- **Delivery vs. Payment (DvP):** A mechanism ensuring that the delivery of securities occurs only if payment is made, and vice versa. This eliminates principal risk.
- **Role of Depositories:** Hold securities in electronic form, facilitating scripless trading and efficient transfer of ownership. E.g., NSDL and CDSL in India.
- **Role of Banks:** Facilitate fund transfers for settlement.

Legal Framework of Clearing & Settlement in India

- **Securities Contracts (Regulation) Act, 1956 (SCRA):** Governs stock exchanges, contracts, and trading in securities.
- **SEBI Act, 1992:** Establishes SEBI as the primary regulator for the Indian securities market, empowering it to regulate clearing corporations and depositories.
- **Depositories Act, 1996:** Provides the legal framework for the establishment and functioning of depositories (NSDL, CDSL) and dematerialization of securities.
- **Payment and Settlement Systems Act, 2007:** Regulates payment systems and settlement systems in India, empowering RBI to oversee these systems.
- **Key Regulations & Circulars:** SEBI issues various regulations (e.g., SEBI (Clearing Corporations) Regulations, 2018) and circulars to govern the operations of clearing corporations and depositories, risk management, and settlement procedures.

Risk Management in Clearing & Settlement

- **Counterparty Risk:** Risk that one party to a transaction defaults on its obligations. Mitigated by CCPs and DvP.
- **Operational Risk:** Risk of losses due to inadequate or failed internal processes, people, and systems. Mitigated by robust systems, business continuity plans.
- **Liquidity Risk:** Risk that a clearing member or CCP cannot meet its cash obligations when due. Mitigated by margin requirements, guarantee funds, and access to liquidity facilities.
- **Systemic Risk:** Risk of failure of one participant leading to cascading failures across the entire financial system. Mitigated by robust regulatory oversight, stress testing, and recovery/resolution plans for CCPs.
- **Margin Requirements:** Collateral (cash or securities) deposited by clearing members with the clearing house to cover potential losses from defaulting on trades.
- **Guarantee Fund:** A fund contributed by clearing members and the clearing house, used to cover losses that exceed initial margins.

International Context & Best Practices

- **Principles for Financial Market Infrastructures (PFMI):** International standards for central counterparties (CCPs), central securities depositories (CSDs), payment systems, and trade repositories, developed by CPMI and IOSCO.
- **Harmonization:** Efforts towards global harmonization of settlement cycles and standards to reduce cross-border risks.
- **T+2 Settlement:** Becoming the global standard for equity markets.